

Industry ↴

920 Entertainment—Broadcasters

920 Entertainment—Broadcasters

10 Overall

00 Status

General Note: The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

920-10-00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	Barter	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
	920-10-05-2	Amended	Accounting Standards Update No. 2014-09	05/28/2014
	920-10-15-3	Amended	Accounting Standards Update No. 2014-09	05/28/2014

05 Overview and Background

General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

- 920-10-05-1The Entertainment—Broadcasters Topic presents standards of financial accounting and reporting for [broadcasters](#).
- 920-10-05-2The Entertainment—Broadcasters Topic includes several Subtopics:

a. Overall

- b. [Subparagraph superseded by Accounting Standards Update No. 2014-09.](#)
- c. Intangibles—Goodwill and Other
- d. Liabilities
- e. Commitments
- f. [Subparagraph superseded by Accounting Standards Update No. 2014-09.](#)
- g. [Subparagraph superseded by Accounting Standards Update No. 2014-09.](#)

15 Scope and Scope Exceptions

i General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

i General Note for Financial Instruments: Some of the items subject to the guidance in this Subtopic are [financial instruments](#). For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic [825](#). See Section [825-10-15](#) for guidance on the scope of the Financial Instruments Topic.

General

> Overall Guidance

920-10-15-1 The Subtopics within the Entertainment—Broadcasters Topic only provide incremental industry-specific guidance for the entities defined in this Scope Section, or as further defined in the Scope Sections of the individual Entertainment—Broadcasters Subtopics. Entities within the scope of this Topic also shall comply with the applicable standards not included in this Topic.

> Entities

920-10-15-2 The guidance in the Entertainment—Broadcasters Topic applies to all entities that are considered [broadcasters](#), with the following exception:

- a. Broadcasters that own the film (program material) shown on their cable, network, or local television outlets (for guidance see Topic [926](#)).

> Transactions

- 920-10-15-3** The guidance in the Entertainment—Broadcasters Topic applies to all transactions and activities including the following:
- [Network affiliation agreements.](#)

20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Broadcaster

An entity or an affiliated group of entities that transmits radio or television program material.

Network Affiliation Agreement

A broadcaster may be affiliated with a network under a network affiliation agreement. Under the agreement, the station receives compensation for the network programming that it carries based on a formula designed to compensate the station for advertising sold on a network basis and included in network programming. Program costs, a major expense of television stations, are generally lower for a network affiliate than for an independent station because an affiliate does not incur program costs for network programs.

920 Entertainment—Broadcasters

230 Statement of Cash Flows

00 Status

General Note: The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related

Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

920-230-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
Broadcaster	Added	Accounting Standards Update No. 2019-02	03/06/2019
License Agreement	Added	Accounting Standards Update No. 2019-02	03/06/2019
920-230-05-1	Added	Accounting Standards Update No. 2019-02	03/06/2019
920-230-15-1	Added	Accounting Standards Update No. 2019-02	03/06/2019
920-230-45-1	Added	Accounting Standards Update No. 2019-02	03/06/2019

05 Overview and Background

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General

920-230-05-1 This Subtopic provides guidance to a [broadcaster](#) licensee on the classification in the statement of cash flows of certain costs incurred for the rights acquired under a [license agreement](#) for program material. This Subtopic also provides guidance for presenting the amortization of the capitalized costs of license agreements.

15 Scope and Scope Exceptions

General Note:The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

920-230-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [920-10-15](#).

20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Broadcaster

An entity or an affiliated group of entities that transmits radio or television program material.

License Agreement

A typical license agreement for program material (for example, features, specials, series, or cartoons) covers several programs (a package) and grants a television station, group of stations, network, pay television, or cable television system (licensee) the right to broadcast either a specified number or an unlimited number of showings over a maximum period of time (license period) for a specified fee.

45 Other Presentation Matters

General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

> Reporting Cash Flows

920-230-45-1 A [broadcaster](#) licensee shall report cash outflows for the costs incurred to obtain the rights acquired under a [license agreement](#) for program material as operating activities in the statement of cash flows, and it shall include the amortization of the capitalized costs of license agreements for program material in the reconciliation of net income to net cash flows from operating activities.

920 Entertainment—Broadcasters

310 Receivables

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

920-310-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
Barter	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
920-310-05-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
920-310-25-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014

05 Overview and Background

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

920-310-05-1 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

25 Recognition

i General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

i General Note for Fair Value Option: Some of the items subject to the guidance in this Subtopic may qualify for application of the Fair Value Option Subsections of Subtopic [825-10](#). Those Subsections (see paragraph [825-10-05-5](#)) address circumstances in which entities may choose, at specified election dates, to measure eligible items at fair value (the fair value option). See Section [825-10-15](#) for guidance on the scope of the Fair Value Option Subsections of the Financial Instruments Topic.

General

920-310-25-1 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

920 Entertainment—Broadcasters

350 Intangibles—Goodwill and Other

00 Status

i General Note: The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

920-350-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
Films	Added	Accounting Standards Update No. 2019-02	03/06/2019
Film Group	Added	Accounting Standards Update No. 2019-02	03/06/2019
920-350-30-3	Amended	Accounting Standards Update No. 2019-02	03/06/2019
920-350-35-1	Amended	Accounting Standards Update No. 2019-02	03/06/2019
920-350-35-2A	Added	Accounting Standards Update No. 2019-02	03/06/2019
920-350-35-3	Amended	Accounting Standards Update No. 2019-02	03/06/2019
920-350-45-1	Amended	Accounting Standards Update No. 2019-02	03/06/2019
920-350-50-1 through 50-4	Added	Accounting Standards Update No. 2019-02	03/06/2019
920-350-50-2	Amended	Accounting Standards Update No. 2024-03	11/04/2024
920-350-50-4	Amended	Accounting Standards Update No. 2024-03	11/04/2024

05 Overview and Background

General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

920-350-05-1 This Subtopic addresses the accounting and reporting by a [broadcaster](#) licensee for the rights acquired under a [license agreement](#) for program material. Guidance is provided on:

- a. When to recognize the asset acquired under such license agreements in the financial statements
- b. At what amounts to record the asset
- c. Amortization of the capitalized amounts recorded.

Guidance also is provided in this Subtopic on the accounting for [network affiliation agreements](#) that are terminated.

920-350-05-2 See paragraph [920-350-25-2](#) for guidance on recording the obligation incurred by a broadcaster licensee under a program license agreement.

920-350-05-3 A typical license agreement for program material grants a licensee the right to broadcast a specified number or an unlimited number of showings during the license period for a fee. Ordinarily, the fee is paid in installments over a period generally shorter than the license period. The agreement usually

contains a separate license for each program in the package. The license expires at the earlier of the last allowed telecast or the end of the license period. The licensee pays the required fee whether or not the rights are exercised. If the licensee does not exercise the contractual rights, the rights revert to the licensor with no refund to the licensee. The license period is not intended to provide continued use of the program material throughout that period but rather to define a reasonable period of time within which the licensee can exercise the limited rights to use the program material.

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

920-350-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [920-10-15](#).

20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Broadcaster

An entity or an affiliated group of entities that transmits radio or television program material.

Daypart

An aggregation of programs broadcast during a particular time of day (for example, daytime, evening, late night) or programs of a similar type (for example, sports, news, children's shows). Broadcasters

generally sell access to viewing audiences to advertisers on a daypart basis.

Film Group

The unit of account used for impairment testing for a [film](#) or a [license agreement](#) for program material when the film or license agreement is expected to be predominantly monetized with other films and/or license agreements instead of being predominantly monetized on its own. A film group represents the lowest level for which identifiable cash flows are largely independent of the cash flows of other films and/or license agreements.

Films

Feature films, television specials, television series, or similar products (including animated films and television programming) that are sold, licensed, or exhibited, whether produced on film, video tape, digital, or other video recording format.

License Agreement

A typical license agreement for program material (for example, features, specials, series, or cartoons) covers several programs (a package) and grants a television station, group of stations, network, pay television, or cable television system (licensee) the right to broadcast either a specified number or an unlimited number of showings over a maximum period of time (license period) for a specified fee.

Network Affiliation Agreement

A broadcaster may be affiliated with a network under a network affiliation agreement. Under the agreement, the station receives compensation for the network programming that it carries based on a formula designed to compensate the station for advertising sold on a network basis and included in network programming. Program costs, a major expense of television stations, are generally lower for a network affiliate than for an independent station because an affiliate does not incur program costs for network programs.

25 Recognition

i General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

> License Agreements for Program Material—Exhibition Rights

920-350-25-1 A [broadcaster](#) (licensee) shall account for a [license agreement](#) for program material and any exhibition right(s) acquired under a license agreement for program material as a purchase of a right or group of rights.

- 920-350-25-2** A licensee shall report an asset and a liability for the rights acquired and obligations incurred under a license agreement when the license period begins and all of the following conditions have been met:
- The cost of each program is known or reasonably determinable.
 - The program material has been accepted by the licensee in accordance with the conditions of the license agreement.
 - The program is available for its first showing or telecast. Except when a conflicting license prevents usage by the licensee, restrictions under the same license agreement or another license agreement with the same licensor on the timing of subsequent showings shall not affect this availability condition.

30 Initial Measurement

i General Note: The Initial Measurement Section provides guidance on the criteria and amounts used to measure a particular item at the date of initial recognition.

General

> License Agreements for Program Material

- 920-350-30-1** Paragraph [920-405-30-1](#) presents the alternative methods under which a [broadcaster](#) shall report the amount of the asset and liability for a broadcast [license agreement](#).
- 920-350-30-2** The capitalized costs to be amortized shall be determined under one of the methods specified in paragraph [920-405-30-1](#). Those costs shall be allocated to individual programs within a package on the basis of the relative value of each to the broadcaster, which ordinarily would be specified in the contract.
- 920-350-30-3** The capitalized costs of rights to program materials shall be reported in the balance sheet at the lower of unamortized cost or fair value on a program-by-program, series, package, or [daypart](#) basis, as appropriate.

35 Subsequent Measurement

i General Note: The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

General

> License Agreements for Program Material—Amortization

920-350-35-1 The capitalized costs of [license agreements](#) for program material, including license agreements in a [film group](#), shall be amortized based on the estimated number of future showings, except that licenses providing for unlimited showings of cartoons and programs with similar characteristics may be amortized over the period of the agreement because the estimated number of future showings may not be determinable.

920-350-35-2 Feature programs shall be amortized on a program-by-program basis; however, amortization as a package may be appropriate if it approximates the amortization that would have been provided on a program-by-program basis. Program series and other syndicated products shall be amortized as a series. If the first showing is more valuable to a station than reruns, an accelerated method of amortization shall be used. However, the straight-line amortization method may be used if each showing is expected to generate similar revenues.

> License Agreements for Program Material—Valuation

920-350-35-2A If a license agreement within the scope of this Subtopic is part of a film group (see paragraphs [926-20-35-3B through 35-3C](#)), it shall be reviewed for impairment in accordance with paragraphs [926-20-35-12](#) and [926-20-35-12B](#). If the license agreement is not part of a film group, it shall be reviewed for impairment in accordance with paragraph [920-350-35-3](#).

920-350-35-3 If management's expectations of the programming usefulness of a program, series, package, or [daypart](#) are revised downward, it may be necessary to write off to the income statement the amount by which the unamortized capitalized costs exceed fair value. A writeoff from unamortized cost to fair value establishes a new cost basis.

40 Derecognition

i General Note: The Derecognition Section provides guidance on determining whether and when an entity should remove an item from the financial statements. For example, the entity would derecognize an asset

because it no longer has rights to the asset or it would derecognize a liability because it no longer has any obligation.

General

> Termination of a Network Affiliation Agreement

920-350-40-1 If a [network affiliation agreement](#) is terminated and not immediately replaced or under agreement to be replaced, the unamortized balance of the amount originally allocated to the network affiliation agreement shall be charged to expense. If a network affiliation is terminated and immediately replaced or under agreement to be replaced, a loss shall be recognized to the extent that the unamortized cost of the terminated affiliation exceeds the fair value of the new affiliation. Gain shall not be recognized if the fair value of the new network affiliation exceeds the unamortized cost of the terminated affiliation.

45 Other Presentation Matters

i General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

> License Agreements for Program Material

920-350-45-1 The asset recorded for the rights acquired under a [license agreement](#) for program material shall be presented separately from [films](#) that are accounted for under Subtopic [926-20](#) either on the balance sheet or in the notes to financial statements.

> Network Affiliation Agreements

920-350-45-2 [Network affiliation agreements](#) and other such items ordinarily are presented in the balance sheet of a [broadcaster](#) as intangible assets.

50 Disclosure

General Note: The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

[Related Proposed ASUs](#)

> License Agreements for Program Material

920-350-50-1 An entity shall disclose its methods of accounting for the rights acquired under a [license agreement](#), including, but not limited to, the following methods:

- The method or method(s) used in computing amortization
- For impairment, a description of the unit(s) of account used for impairment testing and the method(s) used for determining fair value.

920-350-50-2 The following information shall be disclosed in the financial statements or the notes to financial statements for each period for which a statement of financial performance is presented:

- The aggregate amortization expense for the period
- The caption in the income statement where the amortization is recorded.

 PENDING CONTENT



Transition Date:  December 16, 2026;  December 16, 2026 | **Transition Guidance:** [220-40-65-1](#)

The following information shall be disclosed in the financial statements or the notes to financial statements for each period for which a statement of financial performance is presented:

- The aggregate amortization expense for the period
- The caption in the income statement where the amortization is recorded.

See paragraphs [220-40-50-21 through 50-25](#) for additional disclosure requirements.

920-350-50-3 For the most recent annual period for which a statement of financial position is presented, an entity shall disclose in the notes to financial statements the portion of the costs of license agreements recognized at the date of the most recent statement of financial position that an entity expects to amortize within each of the next three operating cycles. An operating cycle is presumed to be 12 months. An entity shall disclose its operating cycle if it is other than 12 months.

920-350-50-4 For impairment amounts recognized for a license agreement that is not included in a [film group](#), the following information shall be disclosed in the notes to financial statements that include the period in which the impairment losses are recognized:

- A description of the facts and circumstances leading to the impairment
- The amount of impairment losses

- c. The caption in the income statement where the impairment losses are recorded
- d. If applicable, the segment(s) under Topic 280 where the impairment losses are recorded.

 PENDING CONTENT



Transition Date:  December 16, 2026;  December 16, 2026 | **Transition Guidance:** [220-40-65-1](#)

For impairment amounts recognized for a license agreement that is not included in a [film group](#), the following information shall be disclosed in the notes to financial statements that include the period in which the impairment losses are recognized:

- a. A description of the facts and circumstances leading to the impairment
- b. The amount of impairment losses
- c. The caption in the income statement where the impairment losses are recorded
- d. If applicable, the segment(s) under Topic 280 where the impairment losses are recorded.

See paragraphs [220-40-50-21 through 50-25](#) for additional disclosure requirements.

55 Implementation Guidance and Illustrations

 **General Note:**The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

General

> Illustrations

· > Example 1: License Agreement for Television Program Material

- 920-350-55-1**
- This Example illustrates accounting for a [license agreement](#) for television program material in accordance with this Topic.
- 920-350-55-2**
- This Example has the following assumptions:
 - a. End of Fiscal Year—December 31
 - b. Contract Execution Date—July 31, 19X1
 - c. Number of Films and Telecasts Permitted—four films, two telecasts each
 - d. Payment Schedule—\$1,000,000 at contract execution date, \$6,000,000 on January 1, 19X2, 19X3, and 19X4

e. Appropriate Interest Rate for Imputation of Interest—12 percent per year

f. Fees, License Periods, and Film Availability Dates.

Film	Total Fee	Stated License Periods		Film Availability Dates
		From	To ^(a)	
A	\$8,000,000	10/1/X1	9/30/X3	9/1/X1
B	5,000,000	10/1/X1	9/30/X3	9/1/X1
C	3,750,000	9/1/X2	8/31/X4	12/1/X1
D	2,250,000	9/1/X3	8/31/X5	12/1/X2
	<u>\$19,000,000</u>			

(a) The actual license periods expire at the earlier of the second telecast or the end of the stated license period.

g. Telecast Dates and Revenues.

Film	First Telecast		Second Telecast	
	Date	Percent of Total Revenue	Date	Percent of Total Revenue
A	3/1/X2	60%	6/1/X3	40%
B	5/1/X2	70%	7/1/X3	30%
C	6/1/X3	75%	6/1/X4	25%
D	12/1/X4	65%	8/1/X5	35%

920-350-55-3

For purposes of imputing interest, it is assumed that the \$1,000,000 payment on July 31, 19X1 and the \$6,000,000 payments on January 1, 19X2 and 19X3 relate to Films A and B and the \$6,000,000 payment on January 1, 19X4 relates to Films C and D. Other simplifying assumptions or methods of assigning the payments to the films could be made.

Film	Payment		Discounted Present Value (rounded to 000s)	
	Date	Amount	As of Date	Amount
A and B	7/31/X1	\$ 1,000,000	10/1/X1	\$ 1,000,000
	1/1/X2	6,000,000	10/1/X1	5,825,000
	1/1/X3	6,000,000	10/1/X1	5,201,000
		<u>\$ 13,000,000</u>		<u>\$ 12,026,000</u>
C	1/1/X4	\$ 3,750,000	9/1/X2	\$ 3,219,000
D	1/1/X4	\$ 2,250,000	9/1/X3	\$ 2,163,000
		<u>\$ 6,000,000</u>		

920-350-55-4

Asset and Liability Recognition (Fair Value Approach)

Film	License Period		Year of Asset and Liability Recognition		
	From	To	19X1	19X2	19X3
A	10/1/X1	9/30/X3	\$7,401,000 ^(a)		
B	10/1/X1	9/30/X3	4,625,000 ^(a)		
C	9/1/X2	8/31/X4		\$ 3,219,000	\$ 2,163,000
D	9/1/X3	8/31/X5			

(a) Discounted present value of \$12,026,000 allocated 8/13 to Film A and 5/13 to Film B based on stated license fees.

920-350-55-5

Expense Recognition (Fair Value Approach)

Film	Year of Expense Recognition				
	19X1	19X2	19X3	19X4	19X5
A	\$204,000 ^{(I)(a)}	\$ 396,000 ^{(I)(b)}			
		4,441,000 ^{(A)(c)}	\$ 2,960,000 ^{(A)(d)}		
B	127,000 ^{(I)(e)}	247,000 ^{(I)(f)}			
		3,238,000 ^{(A)(g)}	1,387,000 ^{(A)(h)}		
C		129,000 ^{(I)(i)}	402,000 ^{(I)(j)}		
			2,414,000 ^{(A)(k)}	\$ 805,000 ^{(A)(l)}	
D			87,000 ^{(I)(m)}		
				1,406,000 ^{(A)(n)}	\$757,000 ^{(A)(o)}
	<u>\$331,000</u>	<u>\$ 8,451,000</u>	<u>\$ 7,250,000</u>	<u>\$ 2,211,000</u>	<u>\$757,000</u>

(I) Accrued interest expense

(A) Amortization of program cost

(a) Interest at 12% for 3 months on liability of \$11,026,000 allocated 8/13 to Film A

(b) Interest at 12% for 1 year on liability of \$5,357,000 (\$11,026,000 plus \$331,000 less 1/1/X2 payment of \$6,000,000) allocated 8/13 to Film A

(c) \$7,401,000 × 60%

(d) \$7,401,000 × 40%

(e) Interest at 12% for 3 months on liability of \$11,026,000 allocated 5/13 to Film B

(f) Interest at 12% for 1 year on liability of \$5,357,000 (\$11,026,000 plus \$331,000 less 1/1/X2 payment of \$6,000,000) allocated 5/13 to Film B

(g) \$4,625,000 × 70%

(h) \$4,625,000 × 30%

(i) Interest at 12% for 4 months on liability of \$3,219,000

(j) Interest at 12% for 1 year on liability of \$3,348,000 (\$3,219,000 plus \$129,000)

(k) \$3,219,000 × 75%

(l) \$3,219,000 × 25%

(m) Interest at 12% for 4 months on liability of \$2,163,000

(n) \$2,163,000 × 65%

(o) \$2,163,000 × 35%

920-350-55-6 Asset and Liability Recognition (Gross Approach)

Film	License Period		Year of Asset and Liability Recognition		
	From	To	19X1	19X2	19X3
A	10/1/X1	9/30/X3	\$ 8,000,000		
B	10/1/X1	9/30/X3	5,000,000		
C	9/1/X2	8/31/X4		\$ 3,750,000	
D	9/1/X3	8/31/X5			\$ 2,250,000

920-350-55-7 Expense Recognition (Gross Approach)

Film	Year of Expense Recognition ^(a)				
	19X1	19X2	19X3	19X4	19X5
A		\$ 4,800,000 ^(b)	\$ 3,200,000 ^(c)		
B		3,500,000 ^(d)	1,500,000 ^(e)		
C			2,813,000 ^(f)	\$ 937,000 ^(g)	
D				1,463,000 ^(h)	\$ 787,000 ⁽ⁱ⁾
	<u>\$ -</u>	<u>\$ 8,300,000</u>	<u>\$ 7,513,000</u>	<u>\$ 2,400,000</u>	<u>\$ 787,000</u>

(a) Under the gross approach, all costs under a license agreement are recorded as amortization of program cost.

(b) \$8,000,000 × 60%

(c) \$8,000,000 × 40%

(d) \$5,000,000 × 70%

(e) \$5,000,000 × 30%

(f) \$3,750,000 × 75%

(g) \$3,750,000 × 25%

(h) \$2,250,000 × 65%

(i) \$2,250,000 × 35%

920 Entertainment—Broadcasters

405 Liabilities

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

920-405-00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	Barter	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
	920-405-25-2	Superseded	Accounting Standards Update No. 2014-09	05/28/2014

05 Overview and Background

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

920-405-05-1	This Subtopic addresses the accounting and reporting by broadcasters for obligations incurred under broadcast license agreements .
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15 Scope and Scope Exceptions

General Note:The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

i General Note for Financial Instruments: Some of the items subject to the guidance in this Subtopic are [financial instruments](#). For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic [825](#). See Section [825-10-15](#) for guidance on the scope of the Financial Instruments Topic.

General

> Overall Guidance

920-405-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [920-10-15](#).

20 Glossary

i General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Broadcaster

An entity or an affiliated group of entities that transmits radio or television program material.

License Agreement

A typical license agreement for program material (for example, features, specials, series, or cartoons) covers several programs (a package) and grants a television station, group of stations, network, pay television, or cable television system (licensee) the right to broadcast either a specified number or an unlimited number of showings over a maximum period of time (license period) for a specified fee.

25 Recognition

General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General Note for Fair Value Option: Some of the items subject to the guidance in this Subtopic may qualify for application of the Fair Value Option Subsections of Subtopic [825-10](#). Those Subsections (see paragraph [825-10-05-5](#)) address circumstances in which entities may choose, at specified election dates, to measure eligible items at fair value (the fair value option). See Section [825-10-15](#) for guidance on the scope of the Fair Value Option Subsections of the Financial Instruments Topic.

General

> License Agreement for Program Material

920-405-25-1 Paragraph [920-350-25-2](#) requires that a [broadcaster](#) shall recognize an asset and a liability for the rights acquired and obligations incurred under a [license agreement](#) for program material when the license period begins and certain conditions specified in that paragraph are met.

920-405-25-2 Paragraph superseded by Accounting Standards Update No. 2014-09.

30 Initial Measurement

General Note: The Initial Measurement Section provides guidance on the criteria and amounts used to measure a particular item at the date of initial recognition.

General

> License Agreement for Program Material

920-405-30-1 A licensee shall report the asset and liability for a broadcast [license agreement](#) at either of the following:

- a. The fair value of the liability
- b. The gross amount of the liability.

If a present value technique is used to measure fair value, the difference between the gross and net liability shall be accounted for as interest in accordance with Topic 835.

45 Other Presentation Matters

General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

> License Agreement for Program Material

920-405-45-1 The liability recorded for the obligation incurred under a [license agreement](#) for program material shall be segregated between current and noncurrent based on the payment terms.

55 Implementation Guidance and Illustrations

General Note: The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

General

> License Agreement for Program Material

920-405-55-1 See Example 1 (paragraphs [920-350-55-1 through 55-7](#)) for an Example illustrating the accounting for a [license agreement](#) for television program material in accordance with this Topic.

920 Entertainment—Broadcasters

440 Commitments

05 Overview and Background

i General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

920-440-05-1 This Subtopic presents the required disclosures by [broadcasters](#) for [license agreements](#) that have been executed but that do not meet the conditions for recording a liability in the financial statements.

15 Scope and Scope Exceptions

i General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

i General Note for Financial Instruments: Some of the items subject to the guidance in this Subtopic are [financial instruments](#). For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic [825](#). See Section [825-10-15](#) for guidance on the scope of the Financial Instruments Topic.

General

> Overall Guidance

920-440-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [920-10-15](#).

20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Broadcaster

An entity or an affiliated group of entities that transmits radio or television program material.

License Agreement

A typical license agreement for program material (for example, features, specials, series, or cartoons) covers several programs (a package) and grants a television station, group of stations, network, pay television, or cable television system (licensee) the right to broadcast either a specified number or an unlimited number of showings over a maximum period of time (license period) for a specified fee.

50 Disclosure

General Note: The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

> License Agreements for Program Material Where Criteria for Recognition Has Not Been Met

920-440-50-1 [Broadcasters](#) shall disclose commitments for [license agreements](#) that have been executed but were not reported because they do not meet the conditions for recording a liability as specified in paragraph [920-350-25-2](#).

920 Entertainment—Broadcasters

605 Revenue Recognition

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

920-605-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
Barter	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
920-605-05-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
920-605-25-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014

05 Overview and Background

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

920-605-05-1 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Editor's Note: All glossary terms have been removed from this Subtopic. See this Subtopic's Status Section (Section 00) and/or this Section's archive for more information.

25 Recognition

General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General Note for Fair Value Option:Some of the items subject to the guidance in this Subtopic may qualify for application of the Fair Value Option Subsections of Subtopic [825-10](#). Those Subsections (see paragraph [825-10-05-5](#)) address circumstances in which entities may choose, at specified election dates, to measure eligible items at fair value (the fair value option). See Section [825-10-15](#) for guidance on the scope of the Fair Value Option Subsections of the Financial Instruments Topic.

General

920-605-25-1 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

920 Entertainment—Broadcasters
845 Nonmonetary Transactions

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

920-845-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
Barter	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Broadcaster	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
920-845-05-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
920-845-15-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
920-845-25-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
920-845-30-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
920-845-30-2	Superseded	Accounting Standards Update No. 2014-09	05/28/2014

05 Overview and Background

- i General Note:** The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

920-845-05-1 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

15 Scope and Scope Exceptions

- i General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

920-845-15-1 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

20 Glossary

- i General Note:** The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Editor's Note: All glossary terms have been removed from this Subtopic. See this Subtopic's Status Section (Section 00) and/or this Section's archive for more information.

25 Recognition

General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

920-845-25-1 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

30 Initial Measurement

General Note: The Initial Measurement Section provides guidance on the criteria and amounts used to measure a particular item at the date of initial recognition.

General

920-845-30-1 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

920-845-30-2 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)